PRIORITY 26 OF 33 · SCORE 2.4

# Labor

Unemployment insurance fraud was enormous during the pandemic and is still the highest-rate program here (14.9%), but claimant data are held by states and are not public. With public data we can only point to states and periods that look wrong. Labor is a strong candidate once a state or DOL grants data.

## INVESTIGATIONS WE PROPOSE

| | |
|---|---|
| DOL-1 | State UI claims versus local job loss and overpayment peers. **First prototype.** |
| DOL-2 | Rules states can run, drawn from charged UI cases. |
| DOL-3 | Union filings for embezzlement signals. |

## EXPOSURE

- Federal-State Unemployment Insurance: $5.6B improper (14.9%) in FY2025. (GAO)
- GAO estimated pandemic UI fraud at $100B to $135B.

## PUBLIC DATA WE USE

- **DOL ETA state UI reports:** weekly claims, overpayments, and fraud recoveries by state.
- **DOL grants** on USAspending (state UI integrity grants).
- **DOL OIG reports** and DOJ releases.

## HOW WE DETECT IT

1. **State anomalies:** claims that diverge from local job loss, or high overpayment rates relative to peers.
2. **Case mining:** extract the schemes from charged cases (shared bank accounts, addresses, IP addresses) to build rules states can run.

## FIRST PROTOTYPE

A state-by-state UI integrity dashboard from public aggregates, plus a playbook of rules drawn from charged cases.

## SCORECARD

Fraud savings identified
● Pending

Phase 1 window
**Weeks 11–14**
Jan 25, 2027 to Feb 19, 2027

Workstream
**Aggregate screens and access cases**

FY2026 outlays
**$62.9B** · budget rank 12

Leads go to
DOL OIG, ETA, states

## WHY PRIORITY 26

| | |
|---|---|
| Exposure | ●●●○○ |
| Public data | ●○○○○ |
| SBA method fit | ●●○○○ |
| Actionability | ●●●●○ |

### OUR REVIEW, DELIVERED WEEK 14

State unemployment insurance dashboard from ETA 539 weekly claims, ETA 227 overpayment reports and Benefit Accuracy Measurement data: claims versus local job loss, overpayment and fraud rates versus peers. Extract schemes from charged UI cases into rules states can run (shared bank accounts, addresses, IP addresses). Also review OLMS union financial filings for embezzlement signals and EBSA plan data (with PBGC).

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

### WHAT WE ASK OF LABOR

**Phase 2 data:** State UI claims (identity, bank, IP data).

**What it enables:** Cross-state duplicate claims, ring detection.

**Access route:** States; DOL OIG; NASWA Integrity Data Hub.

### LIMITS

Detection at the claim level needs state data. This is a proposal-first, data-later agency.

### SOURCES

- GAO-26-108694: FY2025 improper payments
- GAO-23-106696: pandemic UI fraud of $100B to $135B

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

Steve Taylor, Managing Partner, Geodesic Solutions · taylor@geodesic.pro